Resolving Education-Employment Mismatches in the Philippines

Monica Melchor | April 2024

Nearly 40 percent of Filipino workers possess more education than their jobs require.

Education-employment mismatches are linked to lower job satisfaction, compound upon an already vulnerable Filipino job market, and raise concerns over the allocative efficiency of the scarce higher education budget.

Policy Recommendations

1. Revise requirements for tertiary education subsidies to prioritize target programs and incorporate performance metrics
2. Implement centralized, harmonized, regularly updated labor market information system
3. Strengthen institutional capacity and inter-agency coordination

Highlights

- Overeducation involves significant wage penalties, with workers seeing returns of only 5 percent per year of excess schooling relative to 15 percent for years of required education.
- Workers that are younger, urban, and from low-income backgrounds are more likely to be overeducated, holding other things constant.
- Among the factors driving high levels of mismatches are the high value Filipino families place on diplomas and lack of communication from employers on the skills they require.

The Problem

Why do education-employment mismatches matter?

Overeducation is linked to lower job satisfaction and sizable wage penalties relative to required schooling, in addition to representing labor market inefficiencies.

Education-job mismatches compound an already vulnerable labor market. 1 in 3 Filipino workers is uncompensated; 15.4% of are underemployed; 1 in 4 is in short-term work.

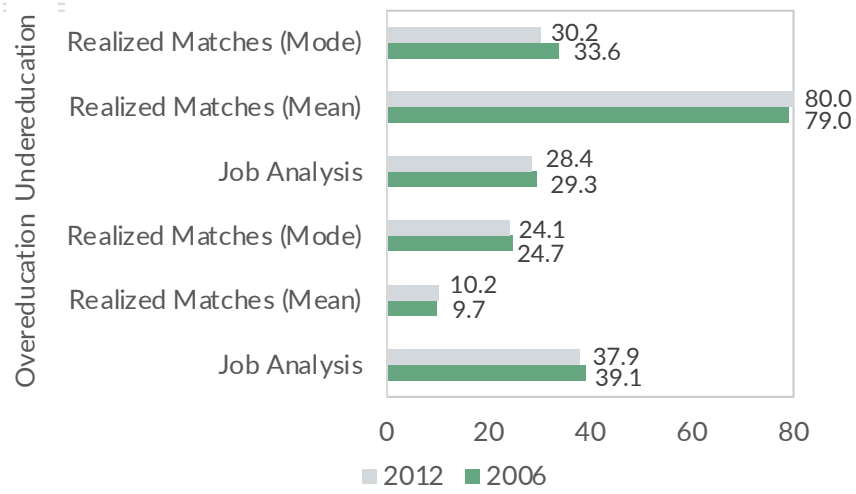
Nearly 90% of the Commission on Higher Education's 2021 budget was allocated to universal access to tertiary education even if this did not yield better jobs.

What are some of the drivers of mismatches?

Macro/ contextual factors	Structural changes in labor demand	Technological advancement, job polarization, changing skill demand, industry shifts
	Business and economic climate	
	Educational expansion	Increased supply of educated workers, skill heterogeneity
Individual factors	Socioeconomic status	
	Gender	
	Psychological and socioemotional traits	Career mobility, preference of working conditions, substitute for experience
Occupational factors	Firm size	

Key Findings

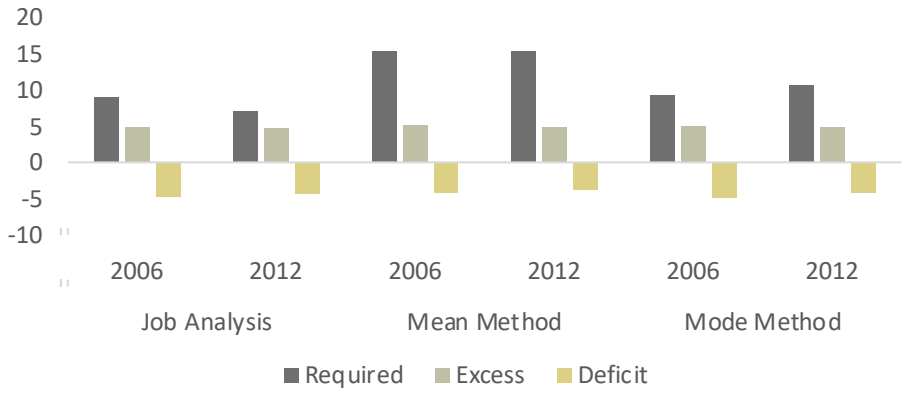
How pervasive are mismatches?



As many as 40% of Filipino workers are overeducated.

Workers earn only 5% per year of surplus schooling vs. 15% return per year of required education.

What are the wage impacts?



Younger, urban, low-income workers are more likely to be overeducated, controlling for other factors.

What have experts said?

"[The Commission on Higher Education] is teaching fundamentals from 20 years back."

- Program Director, Philippine Business for Education

"The Philippines is the only country in the world with free higher education without qualifying college entrance examinations."

- Former Director, Commission on Higher Education

"Signaling from firms to the education market is not very precise. There is a signaling and information problem"

- Advisor, Philippine Institute for Development Studies

Policy Recommendations

How can we solve this problem?

1. Revise the requirements for tertiary education subsidies to prioritize target degree programs and incorporate performance metrics, including completion rates and board passing rates

- Higher education subsidies should prioritize key employment generating industries: agriculture, manufacturing, creative industries, health, transportation and logistics, energy, tourism, information and communications technology, construction, and education.
- Embed key performance metrics in the allocation of subsidies to qualifying state universities and colleges.

2. Implement a centralized, harmonized, and regularly updated and published labor market information system in consultation with industry groups to enhance matching and reduce information asymmetries.

- The government should institutionalize a single, centralized, one-stop shop platform that regularly publishes data linking industry needs with labor market supply.
- This should feature regular consultation with industry associations and can draw from best practices abroad.

3. Strengthen institutional capacity and inter-agency coordination to reduce labor market mismatches.